

PBM CONTRACT REVIEW · READINESS CHECKLIST

Before a PBM Contract Review. *What to Gather. What It Will Surface. Why Now.*

The pre-engagement checklist for plan sponsors considering a contract review. Built from the engagement workflow PBS uses across approximately 100 PBM contract reviews annually.

A PBM contract review is the first real touch point most plan sponsors have with PBS. This is the readiness checklist: what to gather before the review, what the review will surface, and the decision the review produces. Plan sponsors who run this checklist before engaging PBS (or any consultant) walk into the engagement with the right materials and a clear sense of what to expect. Plan sponsors who skip the checklist often delay the review by weeks while documents are pulled.

01 Documents to pull before the review

The minimum document set: current PBM Services Agreement (current and any active amendments) · prior contract versions on file · current quarterly report (most recent four quarters) · current Plan Document / Summary Plan Description · stop-loss policy if pharmacy claims feed stop-loss · any prior PBM RFP or evaluation documents · any member-disruption or complaint logs from the past 12 months.

If any of these are not on file, surface that as a finding now — it tells PBS where the contract administration has gaps.

02 What the review covers (per-mechanic component map)

The Contract Review is the integration of every per-mechanic audit run together as a single engagement. Each component below is also available as a standalone Plan Sponsor Toolkit handout (the link points to the audit worksheet for that mechanic):

Financial mechanics: Channel Pricing audit · Rebate Report audit · PBM Compensation audit (5 revenue streams) · GER and BER guarantee audit.

Contract clauses: Performance Guarantee audit · Network Configuration audit · Disclosure obligations audit · Termination Clause audit · Definition Variance audit (across renewals).

Workflow + member experience: Step Therapy Override audit · Specialty Routing audit · Coordination of Benefits audit · Member Transition Disruption audit.

Run independently, each per-mechanic toolkit surfaces specific gaps in roughly half a day each. Run together as a Contract Review, they produce an integrated audit, dollar-magnitude estimates per gap, and the written optimize-vs-go-to-market recommendation.

03 The decision the review produces

Every Contract Review ends with one of two recommendations: **optimize existing** (negotiate redlines, amendments, and remediation with the current PBM) or **go to market** (issue an RFP for a new PBM vendor).

The recommendation depends on three variables: (a) total dollar magnitude of audit findings · (b) negotiability assessment of the current PBM · (c) switching cost analysis. The Optimize Existing vs. Go-to-Market Decision Framework Toolkit walks each variable.

Whatever the recommendation, the next step is structured: optimize existing → Contract Amendment Letter Toolkit · go to market → RFP Scoring Methodology Toolkit. Either way, the next 12-18 months continue under the Pharmacy Benefit Review (PBR) twice-yearly cadence.

04 The Pattern PBS Sees Most Often

Across approximately 100 PBM contract reviews annually at PBS: ~70% of reviews produce an 'optimize existing' recommendation (current PBM is responsive enough to negotiate redlines, audit findings produce meaningful remediation). ~30% produce 'go to market' (gap too large to close with current PBM, or operational fit poor enough that a new vendor is warranted). The decision sets the next 12-18 months of pharmacy benefit work — and most plans then move into ongoing twice-yearly Pharmacy Benefit Review cadence with PBS or a similar partner.

05 Paste-Ready: Send to Your Broker or PBM

PRE-ENGAGEMENT CHECKLIST · INTERNAL

Pre-Contract-Review Document Checklist

Contract Documents:

- ☐ Current PBM Services Agreement (executed copy)
- ☐ All active amendments and addenda
- ☐ Prior contract versions on file (last 2-3 renewal cycles)
- ☐ Current Plan Document / Summary Plan Description

Performance Data:

- ☐ Most recent four quarterly reports
- ☐ H1 / H2 review documents from the past 12 months
- ☐ Performance guarantee scorecards if produced

Operational Records:

- ☐ Member complaint / disruption log (12 months)
- ☐ Issue resolution tickets (12 months)
- ☐ Account team turnover record

Adjacent Vendor Coordination:

- ☐ Current stop-loss policy (pharmacy claims provisions)
- ☐ Specialty pharmacy network agreements (if separate)
- ☐ Any Pharmacy Benefit Manager Audit Reports

Strategic Context:

- ☐ Internal benefits-committee priority document
- ☐ Renewal cycle calendar (when does the contract expire?)
- ☐ Recent broker correspondence on PBM performance

Delivery format: PDF or shared-drive link. Confidential / for review purposes.

06 This Quarter's Action Plan

STEP 1 · BEFORE THE REVIEW

Pull the document set above

Most plan sponsors find that pulling the documents alone surfaces an internal finding (e.g., 'we don't have the most recent amendment on file'). That finding is the first contract-administration gap.

STEP 2 · SCHEDULE THE REVIEW

Schedule a 60-90 minute kickoff with PBS or your contract reviewer

The kickoff confirms scope, timeline, and the deliverables. PBS typically delivers the contract review in 4-6 weeks from kickoff.

STEP 3 · DURING THE REVIEW

Make the team available for follow-up questions

PBS will request follow-up data during the review (specific claims samples, additional reports, broker context). Plan sponsors who can turn around requests in 2-3 days keep the review on schedule.

STEP 4 · AFTER THE REVIEW

Convene the benefits committee to receive the findings + recommendation